to be $100,000 per year for the next several years. What is the intrinsic value of this gas station assuming a 10 percent discount rate?

As Table 15.1 shows, its intrinsic value is $1,000,000. The gas station is being offered to us at just $500,000. What a deal! Now, we know its intrinsic value today ($1 million) and that we'd be buying at 50 percent off, which is terrific. We make the investment. Two years roll by and someone offers us $950,000 for the business. What should we do? We would run another intrinsic value calculation. Assuming that cash flows have remained steady, the intrinsic value is still $1 million. Moreover we've enjoyed getting dividends of $200,000 in the past two years. With the offer being at 95 percent of intrinsic value, it is a no-brainer to sell. The final economics look like this:

Funds invested	$500,000
Total proceeds	$1,150,000
Annualized return	Over 50 percent

Table 15.1 Discounted Cash Flow (DCF) Analysis of the Gas Station

Year	Free Cash Flow ($)	Present Value ($) of Future Cash Flow (10%)
2007	100,000	90,909
2008	100,000	82,645
2009	100,000	75,131
2010	100,000	68,301
2011	100,000	62,092
2012	100,000	56,447